



LUANSHYA MUNICIPAL COUNCIL



FINANCIAL STATEMENTS FOR YEAR ENDED 31ST DECEMBER 2018

Luanshya Municipal Council
14th Street Zaone Avenue
P O Box 90140
LUANSHYA

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REPORT OF THE COUNCIL

The Council has the pleasure of presenting the report together with the financial statements for the year ended 31st December, 2018 which disclose the sources, utilization and balances of cash for Luanshya Municipal Council during the period under review.

Background and Location of the Council

The Council is located in Luanshya District on the Copperbelt Province of Zambia 35 Kilometers (Km) south-west of Ndola, the Provincial Capital of the Copperbelt Province and about 352 Km north of Lusaka City, the nation's capital, Lusaka. It shares borders with Kitwe City on the west, Ndola City on the north-east, Masaiti District on the south-east, Mpongwe District on the south –west near Kafue River and Lufwanyama District on the north-west. It lies on approximate latitude of 13° 7' 59.880" and longitude 28°23' 60.00". The district has an altitude of 1,257m above sea level and covers an area of 1, 007.61 Square Kilometres (Km²).

Luanshya District has a total area of 1, 007.61 Square Kilometres (Km²). According to the 2010 Population and Housing Census, the total population of Luanshya was 156, 059 with an average annual population growth rate of 0.5%. The population is segregated as 77,368 Males being 49.6% of the population and 78,691 Females being 50.4% of the population (Census 2010 Zambia Population and Demographic Projection for 2011 – 2035, Luanshya is projected to have a population of 177, 934 by 2020.

The main economic activities in Luanshya District are mining and agriculture. The district is endowed with Copper Ore deposits hence making mining a major economic activity.

The address of the registered office of Luanshya Municipal Council (LMC) is as follows:

The Civic Centre

14th Street Zaone Avenue

P.O Box 90140

LUANSHYA

Composition of the Council

Luanshya Municipal Council is a body corporate established under Article 152 of the Constitution of Zambia (Amendment) Act No.2 of 2016 and Section 6 of the Local Government Act, 1991 Cap 281 of the Laws of Zambia. As a Local Authority, the Municipal Council administers Luanshya District.

The Council is composed of an elected Mayor, twenty-eight (28) elected councillors from twenty-eighty (28) Wards. The current council was elected to office in 2016 to serve a five year term up to 2021. The Deputy Mayor was elected from among the Councilors in 2016 for the period of two and half years.

REPORT OF THE COUNCIL

The Councillors who held office during the year were:

S/N	NAME	GENDER	POSITION	WARD
1	Nathan Chanda Bwalya	Male	Mayor	Not applicable
2	Golden Mwenya Mulenga	Male	Deputy Mayor	Mpelembe
3	Kombe Samson	Male	Councillor	Misaka
4	Chiyasa Nepoll	Male	Councillor	Fisenge
5	Chakulya Mulenga	Male	Councillor	Twashuka
6	Robert Chisupa	Male	Councillor	Chitwi
7	Mwewa James	Male	Councillor	Chifulube
8	Daka Edgar	Male	Councillor	Buntungwa
9	Chuba Hugan Bwalya	Male	Councillor	Buteko
10	Bwalya Nkandu Timothy	Male	Councillor	James Phiri
11	Munga Herbert	Male	Councillor	Levi Chito
12	Bowa Chanda Victor	Male	Councillor	Mikomfwa
13	Kasongo Chomba	Male	Councillor	Zambezi
14	Mulenga Paul	Male	Councillor	Mulungushi
15	Simpungwe David	Male	Councillor	Mipundu
16	Bwalya Justus Charles	Male	Councillor	Kafubu
17	Chitalu Veronica	Female	Councillor	Nkoloma
18	Kahale Angel	Male	Councillor	Lumumba
19	Chisha Sephrine	Male	Councillor	Kafue
20	Siuluta Justus	Male	Councillor	Chilabula
21	Mukuka Stanslas	Male	Councillor	Mpatamatu
22	Kasonso Martin	Male	Councillor	Justin Kabwe
23	Desire Mulewa Mumba	Male	Councillor	Nkulumashiba
24	Bwalya Daniel	Male	Councillor	Baluba
25	Katulwende Elias	Male	Councillor	Milyashi
26	Siwale Febian	Male	Councillor	Ngebe
27	Mulenga Elizabeth Twiggy	Female	Councillor	Kansengu
28	Mubanga Stanislaus Chongo	Male	Councillor	Kawama
29	Mwambazi Evaristo	Male	Councillor	Muva Hill

The District also has two (2) elected Members of Parliament one for Luanshya Constituency and the other for Roan Central Constituency. The Members of Parliament that held office during the year were:

S/N	NAME	GENDER	CONSTITUENCY
1	Hon.Steven Chungu	Male	Luanshya
2	Hon. Chishimba Kambwili	Male	Roan

REPORT OF THE COUNCIL

The affairs of Central Government in the district are coordinated by the District Commissioner. During the year under review Mr. Joel Chibuye was the District Commissioner for Luanshya District.

The Council Secretariat

The Secretariat of Luanshya Municipal Council is headed by the Town Clerk. The Town Clerk and the rest of the Secretariat are appointed by the Local Government Service Commission.

The Town Clerk is assisted by seven (7) Heads of Department responsible for Finance, Planning, Engineering, Legal, Public Health, Human Resource and Administration, and Housing and Social Services and two (2) Heads of Units namely Procurement and Internal Audit.

Functions of the Council

The main function of the Council is the delivery of local public goods and services to the people in the District and discharge all or any of the functions set out in Article 147 (2) (c) of the Constitution of Zambia (Amendments) Act No.2 of 2016 and Second Schedule of Cap 281 of the Laws of Zambia which include, among others, power to make By-Laws, power to make regulations, imposition of levies, fees and charges and to formulate local policies to promote, guide and regulate development in the district through various relevant departments of the Council.

Financial Results

	2018
	Kwacha
Cash Receipts	41,260,983
Payments	39,399,438
Increase/(decrease) in Cash and Cash Equivalents	1,861,545

Key Policies Adopted During the Year

The Council adopted the policy to update the main valuation roll in order to broaden the revenue base.

Related Party Transactions

There were no related party transactions during the financial year.

Property, Plant and Equipment

The Council purchased property, plant and equipment amounting to K2, 329,349.

No equipment was received from the Government in the financial year under review and no property, plant and equipment were disposed of during the year.

Intangible Assets

There were no purchases of intangible assets during the year.

Employees

The total number of employees during the year was six hundred and thirty-three (633) The total amount spent on employees' remuneration and welfare during the year was K27, 105,296.

REPORT OF THE COUNCIL

Health and Safety of Employees

The Council is aware of its responsibilities regarding the safety and health of employees as prescribed in the Occupational, Health and Safety Act No.36 of 2010 and took appropriate measures to safeguard their safety and health.

Recreation

The Council during the financial year incurred K421,583 towards sponsoring various sporting activities.

Corporate Social Responsibility

The Council made donations during the year amounting to K388,678 towards the support of various socially responsible causes.

Auditors

In line with Article 250 of the Constitution of Zambia (Amendment) Act No.2 of 2016, the Council is audited by the Auditor-General.

By order of the Council.

Signature:

Name:

Position: Mayor

Date:

STATEMENT OF RESPONSIBILITIES FOR ANNUAL FINANCIAL STATEMENTS

The Luanshya Municipal Council is responsible for preparing the financial statements for the year ended 31st December, 2018 which are free from material misstatement, whether due to fraud or error, and are prepared, in all material respects, in accordance with the Cash Basis International Public Sector Accounting Standards (IPSAS). In preparing the financial statements, the Council selected applicable policies from Local Authorities Accounting Policies (LAAPs) of October 2019, and then applied them consistently, making judgment and estimates that were reasonable and prudent.

The Council is also responsible for the maintenance of adequate accounting records and the preparation and integrity of the annual financial statements and related information. The Auditor General has audited the financial statements and his report is shown on pages 7 to 9.

The Council accepts responsibility for the annual financial statements, which have been prepared using appropriate accounting policies supported by reasonable estimates, in conformity with the Cash Basis IPSAS, the requirements of Cap 281 of the Laws of Zambia, the Public Finance Management Act No.1 of 2018 and Local Authorities Accounting Policies (LAAPs) of 2019.

The Council further accepts responsibility:

- for the maintenance of accounting records that may be relied upon in the preparation of financial statements,
- for designing, implementing and maintaining systems of internal controls relevant to the preparation fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

Nothing has come to the attention of the Council to indicate that the Luanshya Municipal Council will not remain a going concern for at least twelve months from the date of this statement.

In the opinion of the Council, proper books of accounts were maintained to support preparation of Financial Statements that present fairly the financial results of the Municipal Council for the financial year ended 31st December, 2018.

Signed on behalf of the Council on by;

Name:..... Name:.....

Signature:..... Signature:.....

Position: Mayor

Position: Town Clerk

Name:.....

Signature.....

Position: Director of Finance

INDEPENDENT AUDITOR'S REPORT

INDEPENDENT AUDITOR'S REPORT

INDEPENDENT AUDITOR'S REPORT

STATEMENT OF CASH RECEIPTS AND PAYMENTS FOR THE YEAR ENDED 31ST DECEMBER 2018

	Note	2018 Kwacha
RECEIPTS		
Local taxes	2	17,731,829
Fees and Charges	3	6,291,913
Licences	4	612,824
Levies	5	678,825
Permits	6	870,682
Local Government Equalisation Fund	7	11,326,643
Constituency Development Fund	8	3,233,935
Other Grants	9	465,319
Borrowings	10	-
Commercial Venture	11	49,013
Other Receipts	12	-
TOTAL RECEIPTS		41,260,983
PAYMENTS		
Personnel Emoluments	13	27,105,296
Use of goods and services	14	10,815,177
Financial Charges	15	470,853
Social benefits	16	13,840
Non-financial assets acquisition	17	994,272
Financial Assets	18	-
Loan Repayments	19	-
Other payments	20	-
TOTAL PAYMENTS		39,399,438
Increase/(decrease) in Cash		1,861,545
Foreign Exchange Losses	21	-
Cash at beginning of the year	22	174,103
Cash at the end of the year	22	2,035,648

Incorporated in the payments recognised in this Statement are those for Local Government Equalisation and Constituency Development Funds. However, the details of payments under each of these Funds are presented separately in each Fund's own Statement of Cash Receipts and Payments.

Name:..... Name:.....

Signature:..... Signature:.....

Position: Mayor

Position: Town Clerk

Name:.....

Signature.....

Position: Director of Finance

STATEMENT OF COMPARISON OF BUDGET AND ACTUAL AMOUNTS FOR THE YEAR ENDED 31ST DECEMBER 2018

	Original Budget Kwacha	Adjustments Kwacha	Final Budget Kwacha	Actual Amounts Kwacha	% Performance	Variance Kwacha	% Variance
RECEIPTS							
Local taxes	26,554,147	-	26,554,147	17,731,829	67%	(8,822,318)	-33%
Fees and Charges	18,015,913	-	18,015,913	6,291,913	35%	(11,724,000)	-65%
Licences	823,386	-	823,386	612,824	74%	(210,562)	-26%
Levies	454,956	-	454,956	678,825	149%	223,869	49%
Permits	2,612,200	-	2,612,200	870,682	33%	(1,741,518)	-67%
Local Government Equalisation Fund	12,003,686	-	12,003,686	11,326,643	94%	(677,043)	-6%
Constituency Development Fund	2,800,000	-	2,800,000	3,233,935	115%	433,935	15%
Other Grants	20,800	-	20,800	465,319	2237%	444,519	2137%
Borrowings	-	-	-	-		-	0%
Commercial Venture	-	-	-	49,013		49,013	0%
Other Receipts	-	-	-	-	0%	-	0%
TOTAL RECEIPTS	63,285,087	-	63,285,087	41,260,983	65%	(22,024,104)	-35%
PAYMENTS							
Personnel Emoluments	26,766,777	-	26,766,777	27,105,296		(338,519)	-1%
Use of goods and services	24,489,757	-	24,489,757	10,815,177		13,674,580	56%
Financial Charges	240,000	-	240,000	470,853		(230,853)	-96%
Social benefits	1,538,890	-	1,538,890	13,840		1,525,050	99%
Non-financial assets acquisition	10,249,663	-	10,249,663	994,272		9,255,391	90%
Financial Assets	-	-	-	-		-	0%
Loan Repayments	-	-	-	-		-	0%
Other payments	-	-	-	-		-	0%
TOTAL PAYMENTS	63,285,087	-	63,285,087	39,399,438	62%	23,885,649	38%
Increase/(Decrease in Cash	-	-	-	1,861,545		(45,909,753)	

The composition of budget adjustments and explanations of major variances are provided in note 23.

**STATEMENT OF CASH RECEIPTS AND PAYMENTS FOR THE LOCAL GOVERNMENT
EQUALISATION FUND (LGEF) FOR THE YEAR ENDED 31ST DECEMBER 2018**

		Kwacha
RECEIPTS		
Funding	7(a)	11,326,643
TOTAL RECEIPTS		11,326,643
PAYMENTS		
Operational Expenditure Payments:	7(b)	
Salaries and Wages		8,433,423
Terminal Benefits		50,000
Utility bills		-
Service Provision		-
Goods and Services		-
Administrative Costs		
Other Costs		924,000
Sub-Total		9,407,423
Capital Expenditure Payments:	7(c)	
Infrastructure Development		280,592
Rehabilitation Works		114,750
Asset Acquisition		997,918
Other Costs		151,148
Sub-Total		1,544,408
TOTAL PAYMENTS		10,951,831
Increase/(decrease) in cash		374,812
Cash at the beginning of the year		-
Cash at end of the year		374,812

Note 7 explains the composition and other details relating to the various elements included in this Statement

**STATEMENT OF CASH RECEIPTS AND PAYMENTS FOR THE CONSTITUENCY
DEVELOPMENT FUND (CDF) FOR THE YEAR ENDED 31ST DECEMBER 2018**

		2018 KWACHA
RECEIPTS		
Funding	8(a)	3,200,000
Other sources	8(b)	33,935
TOTAL RECEIPTS		<u>3,233,935</u>
PAYMENTS		
Infrastructure Development	8(c)	611,367
Rehabilitation Works	8(d)	-
Asset Acquisition	8(e)	328,365
Administrative Costs	8(f)	19,469
TOTAL PAYMENTS		<u>959,200</u>
Increase/(decrease) in Cash		<u>2,274,735</u>
Cash at beginning of the year		<u>1,159,947</u>
Cash at the end of the year		<u>3,434,682</u>

Note 8 explains the composition and other details relating to the various elements included in this Statement.

SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

1. Basis of the Preparation of the Financial Statements

The Financial Statements have been prepared in accordance with Part 1 of Cash Basis IPSAS, *Financial Reporting under the Cash Basis of Accounting*, issued by the International Public Sector Accounting Standards Board (IPSASB) and Local Authorities Accounting Policies (LAAPs).

These financial statements have been prepared in accordance with the historical cost convention as the basis of measurement, unless specified otherwise.

The accounting policies have been applied consistently throughout the period.

1.1 Comparatives

In line with the Local Authorities Accounting Policies (LAAPs) and the Treasury and Financial Management Circular No. 10 of 2019 issued prior but applicable to finalisation of these financial statements, the starting point for preparation of financial statements using Cash Basis IPSAS *Financial Reporting under the Cash Basis of Accounting* is 2018. The IPSAS allows that in the year of first application, comparative financial statements for the previous year may not be included. In this regard, these financial statements do not include such.

1.2 Reporting Entity

The Financial Statements are prepared for Luanshya Municipal Council. The financial statements encompass the Council as specified under Cap 281 of the Laws of Zambia, Public Finance Management Act No.1 of 2018 and the Constitution of Zambia (Amendment), Act No.2 of 2016. It also includes projects and activities of the Constituency Development Fund and the Local Government Equalisation Fund in the district.

1.3 Authorisation Date

The financial statements were authorized for issue on by the ordinary /special Council.

1.4 Revenue

Revenue is recognised when cash is received. It is generated from various sources as explained below:

a. Local Taxes

Article 161 of the Constitution of Zambia (Amendment) Act No. 2 of 2016 authorises Luanshya Municipal Council as a Local Authority to levy, impose, recover and retain local taxes. Further, the Local Government Act, 1991 Cap 281 section 69 (1) prescribes a system of local taxes by empowering Local Authorities to make by-laws imposing all or any of the following levies:

- a levy on leviable persons owning or occupying property or premises situated within the area of the council.
- A levy on leviable persons carrying on a business, trade or occupation within the area of the council.

SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

- A levy on the purchase or sale of a commodity within the area of the District. This includes levies on sale of livestock, grain and poles.

b. Fees or Charges

Section 70 (1) of the Local Government Act, 1991 as amended by Act 19 of 1992 empowers Local Authorities to impose fees or charges payable to the Council:

- For any licence or permit issued under any by-law or regulation made under the Act. These may include health permits, fire certificate licences, burial permits and extension of business hours permits.
- For any service or facility provided or goods or documents supplied by the Council in pursuance of or in connection with the discharge of any function of the Council. These may include survey fees, consent fees, building inspection fees, waste collection fees and parking fees.

1.5 Expenditure

Expenditure is recognised when payment is made for expenses incurred. The Council incurs expenditure relating to the discharge of its functions which includes expenses relating to personal emoluments, use of goods and services, social benefits and acquisition of non-financial assets.

Items of a capital nature are expensed at the time of payment and such transactions are depicted in the appropriate class and heading in the financial statements. Since capital expenditure is expensed when incurred, neither depreciation nor amortization is charged on non-current assets.

1.6 Reporting on Gross Basis

Transactions are reported on gross basis without netting off similar classes of receipts and payments. However, transactions may be reported on net basis when they relate to transactions the Council administers on behalf of other entities recognised in the Financial Statements

1.7 Cash at the Beginning and End of the Year

Cash at the beginning and end of the year consist of cash on hand, demand deposits and cash equivalents held at such dates.

Cash on hand refers to notes and coins held by the Council at the reporting date and it includes petty cash and cash collections not yet deposited into bank accounts. Demand deposits consist of reconciled balances held in the Council's bank accounts which it can use on demand. Cash equivalents, on the other hand, refer to short term high liquid investments that can easily be converted to known amounts of cash and are subject to insignificant risk of change in values.

The Council recognises all short -term high liquid investments having maturities of three months or less as cash equivalents.

SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

1.8 Local Government Equalization Fund

Article 163(2) of the Constitution of Zambia (Amendment) Act No. 2 of 2016 provides that Parliament shall annually appropriate monies to the Local Government Equalisation Fund which shall be disbursed by the Ministry responsible for finance to Local Authorities.

Receipts under LGEF supplement revenue generated by the Council. The Council uses at least 20% of the funds received from the equalization fund, in any financial year, to finance capital expenditure and the balance to meet operational expenses.

1.9 Constituency Development Fund

The Constituency Development Fund (CDF) was established under Article 162(1) of the Constitution of Zambia (Amendment) Act No. 2 of 2016. The fund was set up to finance micro-community projects for poverty reduction in communities and it is financed by monies appropriated by Parliament.

The administration of CDF is guided by Guidelines on the Management and Utilisation of Constituency Development Fund of 2016. The Council maintains separate bank accounts for each constituency. Transfers are made from CDF into constituency bank accounts from which payments are made to finance approved CDF projects.

1.10 Other Grants

These include grants in lieu of rates and support from Cooperating Partners. Grants in lieu of rates are paid by the Government to the Council to cover property rates of Government properties in the district. Support from Cooperating Partners may consist of cash receipts under bilateral and multilateral agreements.

1.11 Presentation Currency

The presentation currency is Zambian Kwacha.

1.12 Foreign Currencies

Transactions in other currencies are converted into Zambian Kwacha using the ruling Bank exchange rates at the time of payment. Balances expressed in foreign currencies at the year-end are translated into Kwacha at the ruling rate then. The resulting difference from the conversion and translation are charged to the Statement of Cash Receipts and Payments.

1.13 Borrowings

Borrowings comprise actual cash inflows received from financial institutions, bilateral and multilateral institutions.

SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

1.14 Budgets and Actual Amounts

A final budget includes all adjustments (supplementary and re-allocations) made to the original approved budget during the year. Supplementary budgets consist of additional provisions beyond what was originally approved while re-allocations are approved budget variations.

The approved budget is developed on the same accounting and classification basis, and for the same period as for the financial statements. All material differences between final budgets and actual amounts are explained in the notes to the annual financial statements. Budget differences of 20% and above are considered material

NOTES TO THE FINANCIAL STATEMENTS

2. Local Taxes

During the year, the Council generated local tax cash receipts as follows:

Local Tax Type	2018
	Kwacha
Residential Rates	3,610,586
Industrial / Commercial Rates	1,813,976
Mining Rates	12,187,728
Personal Levy	119,538
	-
TOTAL	17,731,829

The Council relied on the Valuation Roll updated for the period 2013 – 2018 to determine the property rates receivable.

3. Fees and Charges

The local authority generated cash receipts in form of fees and charges arising from offering various services as follows.

	2018
	Kwacha
Fees and charges	3,895,827
Land Development Charges	2,396,086
Total	6,291,913

a. Fees and charges

The Council generated the following fees:

NOTES TO THE FINANCIAL STATEMENTS

Fees and Charges Type	2018
	Kwacha
Consent Fees	33,434
Survey Fees	6,175
Building Inspection fees	55,743
Plan Scrutiny Fees	247,781
Rentals/Lease of Council's properties	279,803
Application Form Fees	409,142
Sketch Plan Fees	13,800
Search Fees	6,950
Market Fees	133,083
Parking Fees	82,088
Bus Station Fees	270,169
Affidavit Fees	13,110
Container/Ntemba fees	1,550
Refuse Disposal Fees	25,150
Notice of Marriage	52,950
Abattoir/Meat Inspection Fees	68,480
Communication Mast Levy	171,000
Land Record	1,950
Billboard and Banner	34,763
Lease of Council Transport	9,170
Illegal Vending Fees	-
Penalties	54,323
Site Rent	-
Change of ownership of plot	291,098
Registration of suppliers	1,350
Hire of halls	21,330
Hire of Tents	500
Hire of Grounds	1,560
Swimming/Pool Fees	4,000
Course Fees	400
Library Membership Fees	10,923
Registration of clubs and societies	5,910
Vendor fees	100
Medical fees	24,841
Vaccum tanker Service	1,000
Home Craft Registration	100
Other Fees and Charges/other income	1,562,102
TOTAL	3,895,827

NOTES TO THE FINANCIAL STATEMENTS

b. Land Development Charges

The Council collected the following land development related charges

Charges Type	2018
	Kwacha
Service charges - Residential plots	1,360,037
Service charges - Industrial plots	140,009
Premium plots - Residential	2,250
Premium plots - Commercial	500,800
Lease charges	430
Other (Service Charges Debtors)	392,560
TOTAL	2,396,086

4. Licences

A total of K612, 824 cash receipts was raised from issuance of various licences.

Licence Type	2018
	Kwacha
Manufacturers licence	161,588
Retail licence	161,588
Wholesale licence	161,589
Occupancy licence	-
Commercial travellers licence	-
Hawkers licence	200
Peddlers licence	-
Stall licence	-
Liquor licence	43,800
Firearm and ammunition licence	7,200
Petroleum licence	57,900
Restaurant licence	1,508
Dog licence	350
Other licences	17,100
TOTAL	612,824

NOTES TO THE FINANCIAL STATEMENTS

5. Levies

The Council generated cash receipts by charging levies as follows:

Type of Levy	2018
	Kwacha
Quary Levy	765
Bird Levy	12,500
Fish Levy	-
Pole Levy	665,400
Charcoal Levy	-
Sand Levy	160
Miscellaneous levies	-
TOTAL	678,825

6. Permits

The Council generated cash receipts from issuing various permits as follows:

Type of Permit	2018
	Kwacha
Health Permit	275,230
Opaque Permit	14,870
Herbal Permit	650
Milk Transportation Permit	29,750
Nusery permit	20,290
Burial Permits and Grave sites	152,330
Fire Certificates	291,515
Extension of business hours permits	4,627
Public permits (social gatherings, etc)	-
Other Permits	81,421
Total	870,682

NOTES TO THE FINANCIAL STATEMENTS

7. Local Government Equalisation Fund

a. Funding

The following is the breakdown of the Local government equalization fund as received.

	2018
Funding	Kwacha
1st Funding - January	1,060,307
2nd Funding- February	1,048,307
3rd Funding- March	1,060,307
4th Funding- April	1,049,575
5th Funding- May	1,060,307
6th Funding- July	-
7th Funding- June	1,049,575
8th Funding - August	1,060,307
9th Funding - September	879,247
10th Funding -October	1,148,446
11th Funding -November	948,446
12th Funding -December	961,819
Total	11,326,643

b. Operational Expenditure

The Council applied amounts totalling K9, 407,423 of LGEF receipts towards meeting operational expenses representing 83% of the total LGEF funding for the reporting period. These expenses are included in the amounts disclosed in notes accompanying the Statement of Cash Receipts and Payments.

The Council did not receive funding under the Local Government Equalisation Fund for July 2018 thereby creating arrears in its wage bill. In order to meet the Council's salary obligations, management resolved to borrow an amount of K346,109 from Capital Account where the portion of LGEF funding for capital projects is kept. The Council is still making efforts to reimburse the borrowed funds.

c. Capital Expenditure

The Council set aside amounts totalling K1,919,220 of LGEF receipts towards meeting capital expenditure representing 17% of the total LGEF funding for the reporting period. A total of K1,544,408 was spent leaving a balance of K374,812. This expenditure is included in the amounts disclosed in notes accompanying the Statement of Cash Receipts and Payments.

8. Constituency Development Fund

The various elements constituting Statement of Cash Receipts and Payments for CDF are analysed as follows:

NOTES TO THE FINANCIAL STATEMENTS

(a) CDF Funding

	2018
Constituency	Kwacha
Luanshya	1,600,000
Roan	1,600,000
Total Funding	3,200,000

(b) Other CDF Sources of Funding

	2018
Constituency	Kwacha
Luanshya	14,757
Roan	19,178
Total Other Sources	33,935

Other CDF sources of funding consisted of interest earned on the amounts held in CDF bank accounts.

(c) Infrastructure Development

	2018
Constituency	Kwacha
Luanshya	611,367
Roan	
Total Infrastructure development payments	611,367

Infrastructure development works included construction of Classroom Blocks, Clinics, Markets, Churches, Mothers shelters and Street Lighting.

(d) Rehabilitation Works

There were no rehabilitation works during the year.

(e) Asset Acquisition and Empowerment

	2018
Constituency	Kwacha
Luanshya	11,400
Roan	316,965
Total Asset Acquisition Payments	328,365

NOTES TO THE FINANCIAL STATEMENTS

The assets acquired included purchase of Computers for various schools and chairs for Charity Christian Ministries and empowerment in terms of fertilizer and Chicken rearing projects.

(f) Administrative Costs

	2018
Constituency	Kwacha
Luanshya	10,541
Roan	8,928
Total	19,469

The administrative costs included project supervision costs.

9. Other grants

During the year, the Council received the following grants:

TOTAL	2018
	Kwacha
Grants in Lieu of Rates	330,000
Grants from Cooperating Partners (Unicef)	123,819
Other (Donations)	11,500
Total	465,319

10. Borrowings

The council did not borrow during the year.

11. Council Commercial Venture

This consists of receipts and payments relating to operations of Baluba Investments owned by the Council.

NOTES TO THE FINANCIAL STATEMENTS

	2018
	Kwacha
Receipts	
Tailoring sales Receipts	46,465
Shoe making sales Receipts	23,750
Baluba Motel Rentals	-
Others	-
TOTAL	70,215
Payments	
General Administration	-
Shoe making sales Costs	350
Tailoring sales costs	1,522
wages	19,330
Investments Profit	
Others	
TOTAL	21,202
Surplus/deficit	49,013

12. Other Receipts

During the year under review, the council did not have any unidentified receipts received.

13. Personal Emoluments

Personal Emoluments consist of actual amounts of salaries and wages paid to staff of the Municipal Council. The Council had categories of staff that were paid as follows:

Grade	2018
	Kwacha
Salaries Division 1	3,182,410
Salaries Division 2	4,433,878
Salaries Division 3	3,472,629
Wages- Division 4	10,349,557
Other wages	5,666,822
TOTAL	27,105,296

14. Use of Goods and Services

General expenditure consists of expenditure incurred on administrative activities

NOTES TO THE FINANCIAL STATEMENTS

Expenditure Type	2018
	Kwacha
Office Running Costs	501,807
Building, Repair and Maintenance Costs	368,247
Plant, Machinery and Vehicle Running and Maintenance Cost	1,763,662
Other Administrative operating costs	1,788,026
Requisites	791,753
Services	3,158,637
Travel expenses	1,806,908
Training	433,963
Medical costs	169,311
Other costs	32,864
Total	10,815,177

15. Financial Charges

The Council paid interest on overdraft facilities in amounts totalling K470,853 as financial charges.

	2018
	Kwacha
Interest on Internal Debt	470,853
Interest on External Debt	-
Other Interest	-
TOTAL	470,853

16. Social Benefits

Social benefits include payments towards death on duty, burial, and other benefits. During the year, the Council made a payment under the Madison Insurance Funeral Policy Scheme on cheque No. 003719 valued at K13,840.

NOTES TO THE FINANCIAL STATEMENTS

17. Non-financial Asset Acquisition

Acquisition of assets involved the following payments:

	2018
	Kwacha
Purchase of Computers, Saver and software	200,052
Office Furniture	31,220
Purchase of a Garbage Compactor	542,744
Purchase of Two Motor Vehicles	220,256
TOTAL	994,272

18. Financial Asset

During the year under review, the council did not acquire any financial assets:

19. Loan Repayments

During the year under review, the council did not acquire any loan:

20. Other Payments

During the year under review, there were no payments related to this financial component.

21. Foreign Exchange Losses

These arise from transactions made in other currencies and determined by reconciling opening cash to closing cash balances.

22. Cash Balances

The Council's Cash amounts consisted of cash on hand and demand deposits.

	2018
	Kwacha
Cash on hand	4,940
Demand Deposits	2,030,708
Cash equivalents	-
Total	2,035,648

a. Cash on hand

The Council's cash on hand was made of cash collections.

	Kwacha
Cash collections undeposited	4,940
Petty Cash	-
TOTAL	4,940

NOTES TO THE FINANCIAL STATEMENTS

b. Demand Deposits – Bank Balances

The Council had the following reconciled bank account balances as at the 31st December 2018:

Account Name	Account No		2018 Kwacha
Levies Account	Atlasmara -0310100900009	-	3,365
Operations Account	Atlasmara-0310476108015		3,912
Transit Account	Atlasmara-0310577924001		34,477
Capital project Fund A/C	Zanaco-0120321300172		123,375
Markets Account	Zanaco-0532898300108		295
Luanshya Constituency Account	Zanaco-0120204300186		1,431,655
Roan Constituency Account	Zanaco-1379123300178		2,003,027
Salaries Account	Zanaco-1102109300146	-	1,578,983
Commercial Account	Barclays-0000001081359		7,412
Main Ward Account	Atlasmara-0310437447016		8,903
Total			2,030,708

c. Cash Equivalents

The Council held no cash equivalents at the end of the year.

23. Budget Adjustments and Variances

a. Budget Adjustments

The original budget was approved by the Minister responsible for Local Government on 14th February 2018.

No adjustments were made to the original budget. Supplementary provisions and approved budget reallocations as follows:

b. Variances

• Local Taxes

The Council budgeted to collect K26,554,147 from Fees but collected K17,731,829 resulting in an adverse variance of K8,823,318 variance representing 33%. The variance was due to the revenue section being understaffed, lack of reliable data base for this revenue stream and unrealistic revenue budget estimates

• Fees and Charges

The Council budgeted to raise K18,015,913 from Fees and charges but collected K6,291,913 resulting in an adverse variance of K11,724,000 representing 65%. The variance was due to the

NOTES TO THE FINANCIAL STATEMENTS

under collection which was caused by the revenue section being understaffed, lack of reliable data base for this revenue stream and unrealistic revenue budget estimates.

• Licences

The Council budgeted to raise K823,386 from Licenses but collected K612,824 resulting in an adverse variance K210,562 of 26%. The variance was due to the revenue section being understaffed, lack of reliable data base for this revenue stream and unrealistic revenue budget estimates.

• Levies

The Council budgeted to raise K454, 956 from Licenses but collected K678, 825 resulting in a favourable variance K 223,869 representing 49%. The variance was caused by the unreliable data base for this revenue stream and unrealistic revenue budget estimates.

• Permits

The Council budgeted to raise K2, 612,200 from Licenses but collected K870, 682 resulting in an adverse variance of K1,741,518 representing 67%. The variance was due to the revenue section being understaffed, lack of reliable data base for this revenue stream and unrealistic revenue budget estimates.

Use of Goods and Services

The Council budgeted to spend K24, 489,757 on Use of goods and services but on spent K9, 651,588 resulting in a variance of K14,859,371 representing 61%. The variance was due to liquidity problems that the council faced during the period under review and the closure of the mines affected the economic situation of the district.

Financial Charges

The Council budgeted to spend K240, 000 on financial charges but spent K470, 853 resulting in a variance of K230,853 representing 96%. This variance was due to the financial problems that the council was facing during the said period, which prompted the council to borrow some funds to help supplement the payment of salaries and wages.

NOTES TO THE FINANCIAL STATEMENTS

Social Benefits

The Council budgeted to spend K1, 538,890 on social benefits but spent K13, 840 resulting in a variance of K1, 525,050 representing 99%. The variance was as a result of liquidity problems that the council faced during the period under review, the closure of the mines affected the economic situation of the district and the amount for social benefit is historical it came from way back.

Non-Financial Asset Acquisition

The Council budgeted to spend K10, 249,663 on non-financial assets but spent K2, 329,346 resulting in a variance of K7, 920,317 representing 77%. The variance was caused by most of the assets which were planned to be procured during the period under review were not bought due to liquidity problems faced by the council.